Type MS · Why consumers may not maximise their benefit

Answer 1 of 7 · Question 4 part b · 6 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for selecting product X **(1)** Award 1 mark for correct total revenue $3 000 x 50 = $150 000 **(1)** Award 2 marks if total revenue is accurately calculated as $150 000, even if no calculations are shown Award 1 mark if the answer given is 150 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Why consumers may not maximise their benefit

Answer 1 of 7 · Question 4 part b · 6 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the reasons why consumers may not maximise their benefit when consuming sugary drinks. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumers are not always very good at calculating what is/is not good for them • An increase in adverts has put pressure on consumers to purchase unhealthy products, such as sugary drinks • It is unlikely that consumers would have the full information about the negative effects of the sugar in drinks, such as Coca Cola and Fanta, from the adverts and so would be unlikely to be able to maximise their benefit • It can be difficult to change habits, such as enjoying the taste of the soft drinks and so consumers may still be prepared to pay the additional 0.50 zloty ($0.11) cost/litre • This is especially true if the price of the drinks is only a small amount of the consumer's income • Changing the habit of consuming sugary drinks may be even more difficult if this is different to the actions of friends • This is because, as consumers see others consuming sugary drinks, they may copy this behaviour

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why consumers may not maximise their benefit

Answer 1 of 7 · Question 4 part b · 6 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether the family should expand the business rather than keeping it small. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Expanding a business means serving a higher number of customers, to potentially increase profits • Becoming a larger firm may mean NT Massage is able to make higher profits because it can charge higher prices to the tourists and business people in the new shops • It may have a large increase in customer numbers because there would be shops in busier areas of Hong Kong, this would lead to an increase in revenue and therefore, possibly profits • By having a chain of shops, advertising at hotels and targeting the 7.5 million population of Hong Kong as well as tourists/business people, NT Massage would be spreading its risks, rather than just relying on the original location and local residents • Due to its success as a small business, NT Massage may have more access to finance to be able to grow the firm • It may be possible for NT Massage to benefit from economies of scale, such as being able to spread advertising costs **AO4** • However, NT Massage currently offers a very traditional service which may be negatively affected if the firm expands • The long-standing customers may not like changes being made to the firm, especially if they value the traditional approach • It may experience diseconomies of scale such as difficulty in coordinating and controlling the firm in more than one location, especially if Mei and her family are only used to having one shop • There would be a lot of competition located near to the proposed new locations, meaning that it would be more difficult to attract custom • It would require time and money to grow the firm, meaning that it may be a long time before any profit is made • Raising finance may be difficult for a small business such as NT massage • This could cause further problems for the existing business • Therefore, it may depend on the strength of existing competitors, the ability of NT Massage to advertise successfully and the volume of tourism/business from which to attract potential custom

Type MS · Why consumers may not maximise their benefit

Answer 1 of 7 · Question 4 part b · 6 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Why consumers may not maximise their benefit

Answer 1 of 7 · Question 4 part b · 6 marks

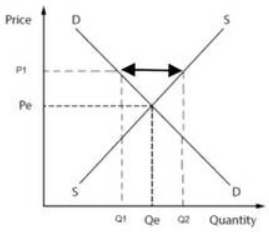
2023 JAN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · Why consumers may not maximise their benefit

Answer 2 of 7 · Question 2 part g · 3 marks

2020 JAN · Paper 01 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark**  **C**	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **D** Use of expensive technology	**(1)**

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing correct calculation 19 ÷ -10 **(1)** Award 1 mark for correct price elasticity of demand (PED) = -1.9 **(1)** Award 1 mark if students show calculation and put 1.9 without the minus sign Award 2 marks if PED is correctly calculated as -1.9, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Why consumers may not maximise their benefit

Answer 2 of 7 · Question 2 part g · 3 marks

2020 JAN · Paper 01 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for correct formula Private benefits + external benefits Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition The end user/a person who makes a purchase for their own use Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the factor and 1 mark for development of the factor • The firm may be able to access more finance **(1)** therefore it can spend more on advertising **(1)** • The firm may wish to take over competitors **(1)** so it may gain more customers **(1)** Accept any other appropriate response	**(2)**

Type MS · Why consumers may not maximise their benefit

Answer 2 of 7 · Question 2 part g · 3 marks

2020 JAN · Paper 01 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that consumers may have habits that are hard to give up **(1).** Products containing sugar can be habit forming **(1)** and so consumers may find it difficult to stop eating sugar even though they know it is bad for their health **(1)** Accept any other appropriate response	**(3)**

Type MS · Why consumers may not maximise their benefit

Answer 2 of 7 · Question 2 part g · 3 marks

2020 JAN · Paper 01 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Over-harvesting sea cucumbers can prevent the marine animal from keeping the coral reef ecosystem healthy and so presents negative externalities • One method of government intervention to reduce negative externalities is the use of fines • In an attempt to reduce over-harvesting, the government fined the owner of Orient Seafood Production (OSP) $1.5m for failing to report harvests of 113,400 kg of sea cucumber in a two-year period • This should stop OSP from over-harvesting again in the future • This would act as a deterrent to other firms that may be considering over-harvesting **AO4** • However, it costs money and takes time to police over-harvesting and impose fines on illegal activity • OSP had already harvested 113 400 kg in two years before being fined, this could already have caused a great deal of damage to the coral reef ecosystem • OSP has already made high profits from over-harvesting and so the fine may not be enough of a deterrent • There is a growing demand in China and sales of sea cucumber are profitable so firms may think it is worth risking being caught and being fined • Other methods of government intervention may be more effective

Type MS · Why consumers may not maximise their benefit

Answer 2 of 7 · Question 2 part g · 3 marks

2020 JAN · Paper 01 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why consumers may not maximise their benefit

Answer 2 of 7 · Question 2 part g · 3 marks

2020 JAN · Paper 01 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Why consumers may not maximise their benefit

Answer 3 of 7 · Question 2 part b · 1 mark

2020 NOV · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO2 1 mark** **C** Monopoly	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** Consumers have habits that are hard to give up	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation $\frac{\text{\% change in quantity supplied}}{\text{\% change in price}}$	**(1)**

Type MS · Why consumers may not maximise their benefit

Answer 3 of 7 · Question 2 part b · 1 mark

2020 NOV · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for identifying the variable costs 2 000 + 15 000 **(1)** Award 1 mark for calculating total variable costs = 17 000 QR **(1)** Award 2 marks if total variable costs are correctly calculated as 17 000QR, even if no calculations are shown Award 1 mark if total variable costs are correctly calculated as 17 000 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to obtaining control of another firm One firm buys control of another firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason In the short term, consumers may not be able to find an alternative product to switch to **(1)** and so it is only in the longer term that they have more opportunity to look for substitutes **(1)** Accept any other appropriate response	**(2)**

Type MS · Why consumers may not maximise their benefit

Answer 3 of 7 · Question 2 part b · 1 mark

2020 NOV · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that a fine may encourage the driver to stay within the speed limit **(1)** because driving too fast may cause accidents **(1)** therefore, fines are likely to reduce the number of accidents and reduce negative externalities **(1)** Accept any other appropriate response	**(3)**

Type MS · Why consumers may not maximise their benefit

Answer 3 of 7 · Question 2 part b · 1 mark

2020 NOV · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is when government organisations provide goods and services in an economy • The private sector is when the provision of goods and services is by businesses that are owned by individuals or groups of individuals • The economic problem is what, how and for whom to produce when there are finite resources to meet infinite wants • In the private sector businesses such as those producing electronics in Japan, are likely to want to meet the business objective of profit maximisation • Therefore there are likely to be fewer wasted resources, as firms try to keep costs as low as possible when meeting the demand from consumers. This is because resources are likely to be allocated according to the forces of supply and demand • It may therefore rely more on private sector ownership because this is likely to be more efficient when producing goods and services that consumers want, such as clothes, leisure and entertainment • This would mean private sector ownership is more effective in solving the economic problem **AO4** • However, with public sector ownership, the best interests of the public are more likely to be the main objective • Therefore reliance on mostly public sector ownership is likely to be more effective for goods and services that may not be produced in high enough quantities by private sector ownership, such as education, health and street lighting • Although public sector ownership may not be the most efficient, without it, resources may not be used to produce everything needed within an economy • Therefore countries such as Cuba may benefit more from producing with a higher reliance on public sector ownership when trying to solve the economic problem

Type MS · Why consumers may not maximise their benefit

Answer 3 of 7 · Question 2 part b · 1 mark

2020 NOV · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why consumers may not maximise their benefit

Answer 3 of 7 · Question 2 part b · 1 mark

2020 NOV · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark

Type MS · Why consumers may not maximise their benefit

Answer 4 of 7 · Question 2 part f · 2 marks

2022 JUN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this is unitary elasticity C is not correct because this is price inelastic D is not correct because the responsiveness is equal	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** External economies of scale A is not correct because this is when an individual firm benefits from falling average costs C is not correct because this results from higher average costs D is not correct because this is a type of internal economies of scale	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable disadvantage • Reduced profit • Higher (advertising) costs • Need to reduce prices Accept any other appropriate response	**(1)**

Type MS · Why consumers may not maximise their benefit

Answer 4 of 7 · Question 2 part f · 2 marks

2022 JUN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $75 000 + ($525 x 1350) **(1)** Award 1 mark for correct total costs = $783 750 **(1)** Award 2 marks if total costs per month are correctly calculated as $783 750, even if no calculations are shown Award 1 mark for 783 750, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • One firm buying out another firm • Obtaining control of a firm by buying over 50% of its shares Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • They may develop buying habits **(1)** to stay loyal to a particular brand they enjoy **(1)** • They may copy the behaviour of others **(1)** in order to fit in with others in a group **(1)** Accept any other appropriate response	**(2)**

Type MS · Why consumers may not maximise their benefit

Answer 4 of 7 · Question 2 part f · 2 marks

2022 JUN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price increase would increase the quantity supplied **(1)**. An increase from $4.50 to $5.00 results in more units **(1)** because producers would increase profits **(1)** • A price decrease would decrease the quantity supplied **(1).** A decrease from $4.50 to $4.00 results in fewer units **(1)** leading to a movement along the supply curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Why consumers may not maximise their benefit

Answer 4 of 7 · Question 2 part f · 2 marks

2022 JUN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The supply of labour is the number of people willing and able to work • It can be affected by many factors, including skills and qualifications • Normally, the supply of labour will increase if there is an increase in the number of people qualified to work in that industry • There has been an increase in the number of graduates with degrees in science, maths and modern languages • By having a degree in these subjects, graduates are more likely to be attracted into the teaching profession by the bonus payment of £9 000 • Therefore, having a degree in science, maths or modern languages would lead to an incentive of higher wages, meaning that the supply of teachers should increase with an increase in skills and qualifications **AO4** • However, it may depend on other factors such as working conditions in teaching because long hours, bureaucracy and student behaviour may deter those with skills and qualifications to teach • If the skills and qualifications can be used by other occupations, graduates may move to alternative types of employment and will not increase the supply of teachers • The bonus is only available to teachers with degrees in maths, science and modern languages and so those qualified in other subjects may find it more beneficial to work in other types of employment • Therefore, an increase in skills and qualifications may not always lead to an increase in the supply of teachers

Type MS · Why consumers may not maximise their benefit

Answer 4 of 7 · Question 2 part f · 2 marks

2022 JUN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why consumers may not maximise their benefit

Answer 4 of 7 · Question 2 part f · 2 marks

2022 JUN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark

Type MS · Why consumers may not maximise their benefit

Answer 5 of 7 · Question 3 part d · 6 marks

2023 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

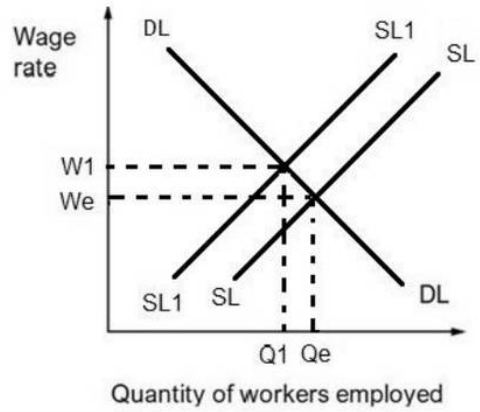
3(a)	**AO1 1 mark** The only correct answer is: **A** an inferior good and demand is price inelastic B is not correct because PED is less than -1, not greater than -1 C is not correct because YED is negative D is not correct because the PED would need to be greater than -1	**(1)**

Question number	The formula for social benefits is **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** private benefits + external benefits A is not correct because it does not include any third-party effects B is not correct because it includes costs D is not correct because this is not a formula used to calculate social benefits	**(1)**

Type MS · Why consumers may not maximise their benefit

Answer 5 of 7 · Question 3 part d · 6 marks

2023 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question number	On the diagram below, draw the effects of a decrease in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for leftward shift of labour supply, labelled Award 1 mark for higher equilibrium wage rate, labelled Award 1 mark for lower equilibrium quantity of workers employed, labelled  	**(3)**

Type MS · Why consumers may not maximise their benefit

Answer 5 of 7 · Question 3 part d · 6 marks

2023 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why some people may ignore the negative impacts of spending a lot of time using a mobile phone. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumers are not always good at calculating what is or is not good for them • Therefore, the mass of information and facilities available on a mobile phone can be difficult to resist • This is also true due to the habit many people have developed to use their mobile phone for so many things in daily life • Developing such a habit of reaching for the phone for a wide variety of reasons can reduce a person's ability to make rational decisions • When so many other people spend so much time on their phone, this behaviour can influence others • Therefore, making it difficult to maximise their benefit regarding use of mobile phones

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why consumers may not maximise their benefit

Answer 5 of 7 · Question 3 part d · 6 marks

2023 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the role of the secondary sector in an economy. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The secondary sector is the production of goods by converting raw materials from the primary sector • Manufacturing is an example of a secondary sector industry • The income and tax revenue provided from the secondary sector can help fund services in the tertiary sector, therefore giving a reason why the economy might be reliant on the secondary sector • In addition, many services rely on production from the secondary sector to be able to provide their services, e. g. transport services (tertiary) rely on the car production (secondary), sales services (tertiary) rely on the production of finished goods (secondary) to sell • Without the production of vehicles, computers and food processing in the secondary sector, the tertiary sector would not be able to deliver services reliant on transport, monitor sales using computers/technology or serve food in restaurants **AO4** • However, the economy focuses on the provision of a range of services in the tertiary sector, including insurance and banking, as well as health care and education • Revenue earned in the tertiary sector could be used by governments to fund manufacturing of equipment, such as that used in defence • Therefore, the tertiary sector may play a more important role in an economy • Tertiary sector services need the expertise and skills of professionals such as accountants, doctors and teachers • Therefore, the tertiary sector relies on elements such as skills and qualifications as well as on the secondary sector • The economy relies on the primary sector as well, for the extraction of raw materials to use during production (in the secondary sector)

Type MS · Why consumers may not maximise their benefit

Answer 5 of 7 · Question 3 part d · 6 marks

2023 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why consumers may not maximise their benefit

Answer 5 of 7 · Question 3 part d · 6 marks

2023 JUN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question number	Calculate the **excess demand** for tickets if the quantity supplied for all three events totals 60,000. You are advised to show your working. **Answer**	Mark

Type MS · Why consumers may not maximise their benefit

Answer 6 of 7 · Question 2 part b · 1 mark

2024 NOV · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** Oligopoly A is not correct because only one firm would dominate C is not correct because this is not related to the market share D is not correct because the diagram shows sales and not levels of employment	**(1)**

Question number	Which **one** of the following is a reason why consumers may not maximise their benefit? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Consumers may not accurately calculate benefits B is not correct because consumers may have habits that are hard to give up C is not correct because consumers do sometimes copy the behaviour of others D is not correct because consumers are not always rational when making decisions	**(1)**

Type MS · Why consumers may not maximise their benefit

Answer 6 of 7 · Question 2 part b · 1 mark

2024 NOV · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question number	Calculate the **total variable costs** for the firm in the month of September. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation €3 000 + €18 000 **(1)** Award 1 mark for calculating total variable costs = €21 000 **(1)** Award 2 marks if total variable costs are correctly calculated as €21 000, even if no calculations are shown Award 1 mark if the total variable costs are calculated as 21 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term total revenue? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The amount of money gained **(1)** from the sale of all products **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** feature of a monopoly. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature High barriers to entry **(1)** therefore new firms cannot enter the market **(1)** OR Unique product **(1)** to allow the firm to remain alone in the market **(1)** Accept any other appropriate response	**(2)**

Type MS · Why consumers may not maximise their benefit

Answer 6 of 7 · Question 2 part b · 1 mark

2024 NOV · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question number	Explain **one** reason why the Italian Government may have introduced legislation that makes it easier for new taxi firms to enter the market. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • The legislation would increase the competition **(1)** therefore increasing the choice of taxis **(1)** meaning it will be easier for the public to find/hire a taxi **(1)** • The legislation would reduce barriers to entry **(1)** reducing the power of taxi firms to charge high fares **(1)** meaning it would be cheaper for the public to travel **(1)** Accept any other appropriate response	**(3)**

Type MS · Why consumers may not maximise their benefit

Answer 6 of 7 · Question 2 part b · 1 mark

2024 NOV · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of trade unions in increasing wages, such as for the transport workers in Germany. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages for workers by putting pressure on employers during negotiations • In this case a major strike was organised by the trade unions, which makes employers more likely to negotiate • Verdi is Germany's second largest trade union, meaning it could have a lot of influence on employers • 2.5 million transport workers were helped by the union, in obtaining a 5.5% pay increase • Therefore, other firms may be willing to discuss wages with trade unions in order to benefit from increased productivity and/or reduced disruption **AO4** • However, the effectiveness of the trade unions depends upon how many members support the strike action • Verdi was aiming to increase wages by 10.5% for transport workers, meaning trade union membership was only partially effective • Workers may not think it worth paying a membership fee to a trade union if it is unable to deliver wage increases • The effectiveness of trade unions may depend on whether firms can pass on increased costs through increased prices, such as higher prices for passengers to travel by train on German railways • The alternative may be reduced profit margins for the transport firms, meaning they would be less likely to agree to pay increases

Type MS · Why consumers may not maximise their benefit

Answer 6 of 7 · Question 2 part b · 1 mark

2024 NOV · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why consumers may not maximise their benefit

Answer 6 of 7 · Question 2 part b · 1 mark

2024 NOV · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question number	Which **one** of the following is most likely to cause a shift to the left of the demand curve? **Answer**	**Mark**

Type MS · Why consumers may not maximise their benefit

Answer 7 of 7 · Question 1 part a · 1 mark

2025 JUN · Paper 01 · extract 1 of 7 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** Consumers aim to maximise benefits A is not correct because firms often aim to maximise profit C is not correct because consumers are giving up the products D is not correct because these consumers would be calculating benefits	**(1)**

Question number	Which **one** of the following best describes the product? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **D** An inferior good A is not correct because YED does not determine whether a good is a public good B is not correct because the YED would be positive C is not correct because the YED would be positive and greater than 1	**(1)**

Question number	What is meant by the term productivity? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The amount of output produced **(1)** in relation to the resources used/time period **(1)**	

Type MS · Why consumers may not maximise their benefit

Answer 7 of 7 · Question 1 part a · 1 mark

2025 JUN · Paper 01 · extract 2 of 7 · find part a in this mark scheme extract

	Accept any other appropriate response	**(2)**

Type MS · Why consumers may not maximise their benefit

Answer 7 of 7 · Question 1 part a · 1 mark

2025 JUN · Paper 01 · extract 3 of 7 · find part a in this mark scheme extract

Question number	State the formula for social costs. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs Accept any other appropriate response	**(1)**

Question number	Define the term producer. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that creates/makes goods and/or services Accept any other appropriate response	**(1)**

Question number	Calculate the **total costs per month** for the firm. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €37 000 + (€170 x 650) **(1)** Award 1 mark for calculating correct total costs = €147 500 **(1)** Award 2 marks if total costs per month are correctly calculated as €147 500 even if no calculations are shown Award 1 mark if the answer given is 147 500, with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Why consumers may not maximise their benefit

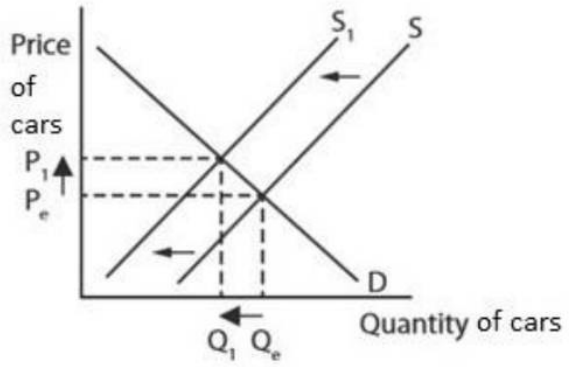
Answer 7 of 7 · Question 1 part a · 1 mark

2025 JUN · Paper 01 · extract 4 of 7 · find part a in this mark scheme extract

Type MS · Why consumers may not maximise their benefit

Answer 7 of 7 · Question 1 part a · 1 mark

2025 JUN · Paper 01 · extract 5 of 7 · find part a in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for cars following a rise in the costs of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** reason why the CMA may have made this decision. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • In order to prevent monopoly power **(1)** and so promote competition **(1)** as a firm with over 60% of the market may be less likely to innovate **(1)** Accept any other appropriate response	**(3)**

Type MS · Why consumers may not maximise their benefit

Answer 7 of 7 · Question 1 part a · 1 mark

2025 JUN · Paper 01 · extract 6 of 7 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how an increase in demand for furniture made of wood may affect the demand for woodcutters. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • When an industry needs labour to create a good/service, the demand for labour is a derived demand • This is because the good/service cannot be produced without labour • Therefore, woodcutters are needed to cut the wood with which to make the furniture (the final product) • An increase in demand for furniture made of wood by 5% is likely to lead to an increase in the demand for woodcutters • This is because the greater the demand for a good or service, the greater the demand for labour is likely to be

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why consumers may not maximise their benefit

Answer 7 of 7 · Question 1 part a · 1 mark

2025 JUN · Paper 01 · extract 7 of 7 · find part a in this mark scheme extract

Question number	Which **one** of the following options shows unobtainable production? **Answer**	**Mark**